

Perfect Store — Segmentation Report

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Data Quality Assessment

VERDICT: PASS

REPORT:

- * The outlet master file is robust with 10,000 unique outlets and all core commercial metrics (VPO, TOTAL_REVENUE, AVG_SKU) present, providing a solid foundation for segmentation.
- * Significant gaps in demographic and geographic data (e.g., `pepsi\_top\_city\_name`, `urban\_vs\_periphery\_tagging`) will constrain the granularity and predictive power of our store segmentation, potentially limiting our ability to differentiate execution standards based on catchment profiles.
- * Extensive nulls across numerous SKU-level sales columns suggest either significant distribution gaps for specific products or data sparsity, which could impact the precision of MSL recommendations for those SKUs.
- * VPO outliers are minimal (<1%) and will not materially skew segment centroids or distort potential model predictions.
- * While some SKU-level sales data shows negative values (likely reflecting returns or credits), these will be appropriately zeroed out before clustering to prevent distortion of product contribution metrics.
- * The dataset provides a good representation across key states and cohorts, with a strong focus on General Trade ('Retail') and 'Balance' city tiers, aligning with our primary market focus.

Segmentation Overview

The analysis identified **6 distinct outlet segments** across **10,000 retail outlets**, representing a combined monthly VPO of **■35,882,659**.

Segment	Label	Outlets	% Total	Avg VPO (■)	Avg SKUs
0	Urban Kirana Cold Beverage & Premium I	1,536	15.4%	■6,233	18.5
1	Rural Kirana Everyday Essential Afford	3,037	30.4%	■2,715	9.2
2	Urban Kirana Basic Needs & Value Focus	5,088	50.9%	■2,617	12.2
3	Metro High Footfall Office Corridor GT	15	0.1%	■2,945	13.5
4	Urban Modern Trade Premium Stock-up	282	2.8%	■5,650	17.6
5	High-Value Urban Kirana Mixed Mission	42	0.4%	■74,113	26.3

Store Prioritization — A/B/C/D & Upside Tagging

Tier	Description	Outlets	% Total	Avg Actual VPO	Avg Potential VPO	Avg Gap
A+	Top 20% by VPO — BELOW 75th-pct potential (highest intervention focus)	624	6.4%	■6,325	■7,917	■1,592
A	Top 20% by VPO — performing at potential	1,356	13.6%	■12,793	■5,509	■-7,284
B+	Next 20% by VPO — BELOW 75th-pct potential	1,464	14.6%	■3,384	■5,173	■1,789
B	Next 20% by VPO — performing at potential	536	5.4%	■3,491	■2,437	■-1,055
C+	Next 30% by VPO — BELOW 75th-pct potential (emerging opportunities)	1,567	25.7%	■1,814	■3,403	■1,589
C	Next 30% by VPO — performing at potential	433	4.3%	■1,920	■1,375	■-545
D+	Bottom 30% by VPO — BELOW 75th-pct potential (underserved catchment)	2,620	28.2%	■710	■2,026	■1,316
D	Bottom 30% by VPO — performing at potential	180	1.8%	■804	■502	■-302

Strategic Prioritization Narrative

Unlocking Growth: A Data-Driven Approach to Perfect Store Prioritization in India

To maximize our commercial returns and ensure disciplined execution, we have leveraged a sophisticated Perfect Store prioritization model across 10,000 retail outlets. This framework moves beyond simple revenue ranking to identify true untapped potential, guiding our field sales teams to focus effort where it yields the highest incremental Net Sales Value (NSV).

What Drives Outlet Potential in India?

Our quantile regression model, which predicts the 75th percentile VPO (Value Per Outlet) for each store, clearly highlights the environmental factors that most strongly correlate with an outlet's revenue potential in the Indian FMCG landscape. The top drivers are: **neighbourhood demographics (SEC households, per-capita income), store size, and proximity to commercial hubs (offices, malls, transport, schools)**.

This insight is critical for territory planning. It confirms that affluent catchments (higher SEC A/B households) and areas with higher disposable income naturally support greater sales. Larger store footprints offer more opportunity for expanded assortment and impactful merchandising. Crucially, outlets situated near footfall generators – be it a bustling office complex, a local school, or a major transport hub – possess inherent advantages for driving impulse purchases and higher transaction volumes. This means our territory managers can now identify areas where our brands should be performing significantly better, even if current sales are modest.

Prioritizing Upside: The A+ and B+ Imperative

Our analysis reveals that 2,108 outlets (21% of our universe) fall into the A+ and B+ categories. These are our highest-priority intervention targets. An A+ store is already a high-revenue performer (top 20% by VPO, averaging ■6,325/month) but still has a substantial untapped potential of ■1,592. Similarly, B+ stores, while good performers (next 20% by VPO, averaging ■3,384/month), show an even larger potential gap of ■1,789.

The fact that these stores are already in the top 40% by revenue, yet still below their predicted potential, signifies that they are leaving significant money on the table. They possess the inherent footfall and customer base, but are likely under-optimized in their execution. Interventions here are about maximizing existing traffic and basket value. For A+ outlets, this means an **execution upgrade**: optimizing planograms for premium and high-margin SKUs, ensuring 100% MSL compliance (especially for new product development), negotiating for secondary display space, and ensuring optimal chiller/cooler placement. For B+ outlets, the focus shifts to **distribution fill and visibility**: aggressively pushing missing hero SKUs, implementing secondary displays for impulse categories, and ensuring prominent Point-of-Sale Material (POSM) placement to capture existing shopper attention.

Strategic Investment: The C+ and D+ Opportunity

The C+ and D+ tiers represent a different, yet equally important, opportunity. With 2,567 C+ outlets (25.7%) showing a potential gap of **1,589**, and 2,820 D+ outlets (28.2%) with a gap of **1,316**, these stores are not structural low performers. Instead, they are mid-to-low revenue outlets situated in favourable catchments that are currently *underserved* or poorly optimized.

These are not stores to rationalize; rather, they are strategic investment opportunities. For C+ outlets, the approach should be **strategic investment and MSL push**: focusing on foundational Perfect Store elements, driving aggressive MSL compliance, and evaluating for cooler seeding or enhanced merchandising support to unlock latent potential. For D+ outlets, the strategy is **trial activation and basic availability**: introducing entry-price-point packs (e.g., **5/10** SKUs common in GT kiranas), ensuring basic availability of 2-3 fastest-moving SKUs, and using simple awareness POSM to establish presence and drive initial trials. The field team must approach C+ and D+ with a mindset of building performance from a lower base, requiring more foundational interventions and a longer lead time for ROI compared to the A+/B+ optimization.

Prioritized Field Action Matrix

To translate this analysis into actionable steps for our field sales teams:

A+ (644 outlets): **Execution Upgrade & Premiumization**. Conduct detailed Perfect Store audits. Optimize planograms for premium and high-margin SKUs. Ensure 100% MSL compliance, especially for new product launches. Negotiate for secondary display space and chiller placement to maximize basket value.

B+ (1,464 outlets): **Distribution Fill & Visibility**. Prioritize MSL compliance for core and hero SKUs. Implement secondary displays for impulse categories. Ensure prominent POSM placement to capture existing footfall by improving availability and visibility.

C+ (2,567 outlets): **Strategic Investment & MSL Push**. Focus on foundational Perfect Store elements. Drive MSL compliance aggressively. Evaluate for cooler seeding or enhanced merchandising support to unlock latent potential in favorable catchments.

D+ (2,820 outlets): **Trial Activation & Basic Availability**. Introduce entry-price-point packs (e.g., **5/10** SKUs). Focus on basic availability of 2-3 fastest-moving SKUs. Use simple awareness POSM to establish presence and drive initial trials in underserved areas.

A/B/C/D (non-plus): **Protect & Maintain Efficiency**. For A/B, focus on loyalty, trade terms, and efficient service. For C, optimize cost-to-serve and explore digital reorder solutions. For D, rationalize visit frequency and maintain a lowest-cost service model to sustain current performance efficiently.

This data-driven prioritization ensures our GTM teams know precisely where to focus and what actions to take, ultimately driving sustainable revenue and margin growth by optimizing every outlet's potential.

Segment Deep Dives

Segment 0: Urban Kirana Cold Beverage & Premium Impulse

These are small, urban kiranas and bakeries with high cooler penetration, serving a mixed-income demographic. Shoppers seek convenient, often chilled, beverages and snacks for immediate consumption, with a notable demand for premium options. High footfall and school proximity indicate consistent impulse purchase opportunities.

Outlets: 1,536 (15.4% of total) | **Avg VPO:** ■6,233/month | **Avg Total Rev:** ■70,393 | **Avg SKUs:** 18.5 | **Avg Active Months:** 10.9

Recommended Action: Optimize chiller assortment with a mix of core and premium chilled beverages, ensuring high visibility and regular stock rotation to capture impulse purchases.



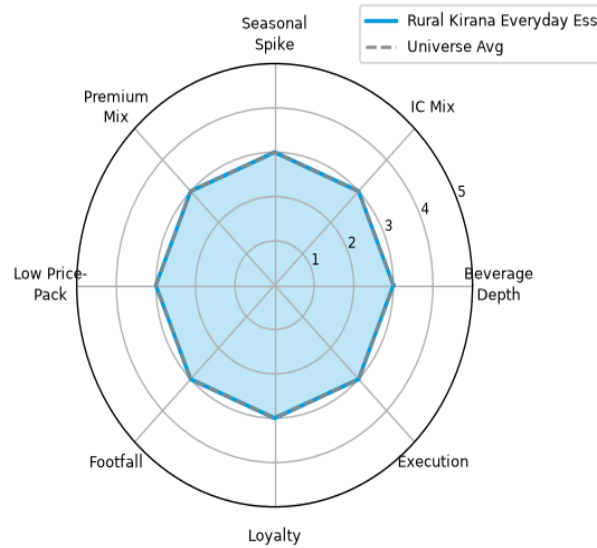
Segment 1: Rural Kirana Everyday Essential Affordability

These are the smallest, most rural kiranas with very low VPO and no premium product sales, serving highly price-sensitive SEC C/D/E households. Purchases are driven by immediate, essential needs and affordability, primarily focusing on entry-level price points. Low footfall and limited SKU breadth define these outlets.

Outlets: 3,037 (30.4% of total) | **Avg VPO:** ■2,715/month | **Avg Total Rev:** ■12,512 | **Avg SKUs:** 9.2 | **Avg Active Months:** 3.9

Recommended Action: Focus on ensuring availability of Rs. 5 and Rs. 10 packs for core hero SKUs, leveraging strong distributor networks for efficient last-mile delivery and numeric distribution.

Rural Kirana Everyday Ess



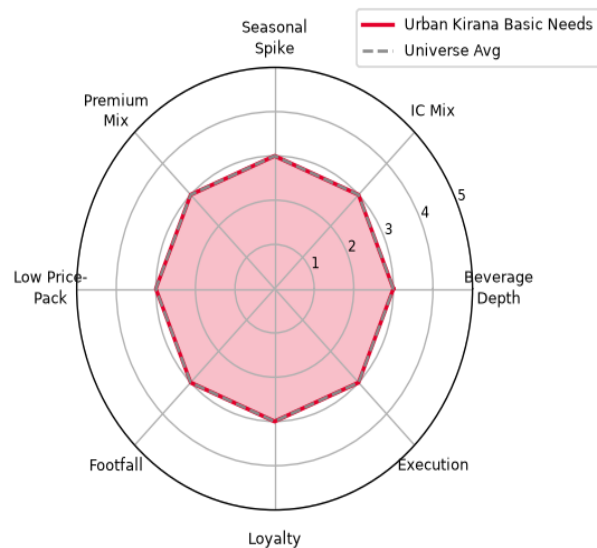
Segment 2: Urban Kirana Basic Needs & Value Focus

This is the largest cluster of small, urban kiranas and paan kiosks with moderate VPO, serving predominantly SEC C/D households. Shoppers prioritize value and basic needs, with very low premium product penetration. Cooler availability is split, indicating a mixed opportunity for chilled beverages.

Outlets: 5,088 (50.9% of total) | **Avg VPO:** ■2,617/month | **Avg Total Rev:** ■27,409 | **Avg SKUs:** 12.2 | **Avg Active Months:** 10.0

Recommended Action: Implement a targeted MSL for core, high-velocity SKUs at Rs. 10-20 price points, coupled with POSM to highlight value offers and drive impulse purchases.

Urban Kirana Basic Needs

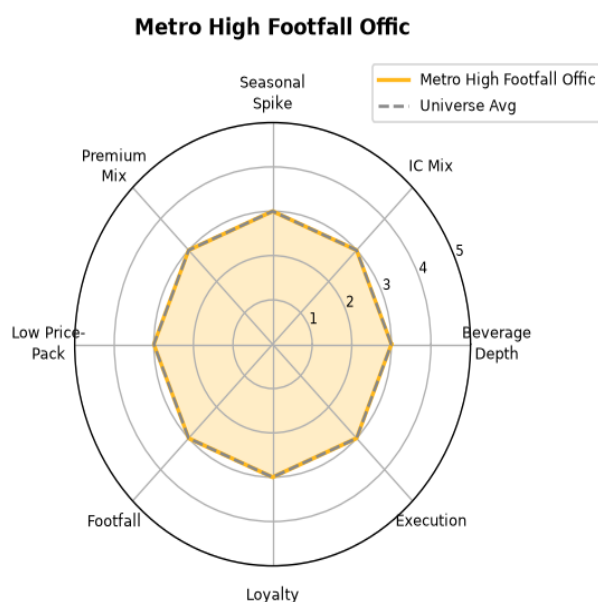


Segment 3: Metro High Footfall Office Corridor GT

These are urban kiranas in metro cities, characterized by extremely high footfall and proximity to offices, suggesting a strong 'on-the-go' shopper mission. Despite high SEC A/B household presence, VPO is moderate, indicating quick, small-basket transactions. Premium category sales are low, pointing to a need for convenient, mid-tier options.

Outlets: 15 (0.1% of total) | **Avg VPO:** ■2,945/month | **Avg Total Rev:** ■32,749 | **Avg SKUs:** 13.5 | **Avg Active Months:** 10.9

Recommended Action: Introduce combo offers (e.g., beverage + snack) at Rs. 20-30 price points to increase average transaction value, leveraging high footfall and office proximity for quick consumption.



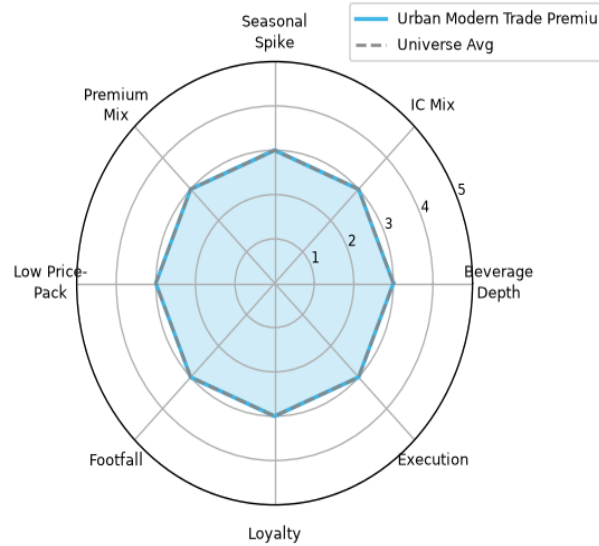
Segment 4: Urban Modern Trade Premium Stock-up

These are larger modern trade grocery stores in urban areas, serving affluent SEC A/B households with high per capita income. They exhibit high VPO, extensive SKU breadth, and 100% cooler availability, indicating a focus on planned, larger basket purchases including premium products. Shoppers here are looking for range and quality.

Outlets: 282 (2.8% of total) | **Avg VPO:** ■5,650/month | **Avg Total Rev:** ■63,141 | **Avg SKUs:** 17.6 | **Avg Active Months:** 10.5

Recommended Action: Ensure full range availability of premium and multi-serve packs, optimize planogram compliance for category blocking, and implement secondary displays for promotional activities to drive stock-up purchases.

Urban Modern Trade Premiu



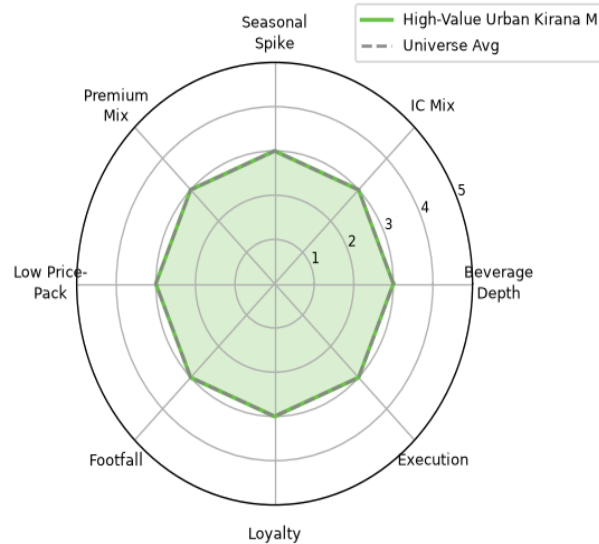
Segment 5: High-Value Urban Kirana Mixed Mission

These are high-performing urban kiranas with very high VPO and good SKU breadth, serving a mixed-income demographic. They have high cooler penetration and significant premium category sales, indicating a blend of immediate consumption and aspirational purchases. These outlets are critical for both volume and value growth.

Outlets: 42 (0.4% of total) | **Avg VPO:** ■74,113/month | **Avg Total Rev:** ■763,035 | **Avg SKUs:** 26.3 | **Avg Active Months:** 10.9

Recommended Action: Prioritize premium SKU distribution and visibility within chillers, implement targeted trade marketing programs to incentivize retailer advocacy, and ensure consistent stock of both core and premium offerings.

High-Value Urban Kirana M



Shopper Profile

This cluster caters to a diverse urban shopper base, including office-goers, local residents, and transit commuters seeking immediate consumption and convenience. Shoppers prioritize quick, easy access to a broad range of products, including premium options, often driven by a need for refreshment or a quick snack during their daily routine. While impulse purchases are high, the significant VPO and premium sales suggest a segment of shoppers also making planned, higher-value purchases. Shopping occurs throughout the day, with potential peaks during morning commutes, lunch breaks, and evening top-ups.

Demographic & Catchment Profile

These outlets are predominantly located in dense urban areas (74% Urban sector, 95% Urban tagging) across key states like Punjab and Uttar Pradesh. The neighbourhood demographics show a mixed SEC profile, with a strong presence of B and C households, but also significant A and D households, indicating a varied income catchment. The high number of schools (11.4 within 1km) suggests a youth presence, while proximity to train stations (3.3km) points to transit footfall. The overall archetype is a bustling urban residential-commercial hub with diverse shopper missions.

Store Characteristics

Stores in this cluster are primarily high-performing General Trade (82% GT, 59% Kirana Str) outlets, despite their small size (69% <200 sqft). They boast an exceptionally high average monthly VPO of **74,113**, nearly five times the universe average, indicating strong sales efficiency per square foot. SKU depth is robust at 26.32, significantly above the universe average, allowing for a wider range. A critical feature is the high cooler availability (95%), essential for immediate consumption, and 69% of stores sell premium categories, reflecting their ability to cater to higher-value demand. Footfall is consistently high to medium.

Sales Behaviour Dimensions

| Dimension | Score (1–5) | Rationale |

|---|---|---|

| Beverage Category Depth | 4 | Avg SKU count of 26.32 is significantly higher than universe avg of 16.2. |

| Immediate Consumption Mix | 5 | Pre-classified as IC, 95% cooler availability, and high footfall strongly support this. |

| Seasonal Demand Spike | 3 | Urban, mixed-mission stores typically have more consistent demand than highly seasonal ones. |

| Premium Mix | 5 | 69% of stores sell premium categories, indicating strong premium product uptake. |

| Low Price-Pack Dependency | 2 | High VPO and premium sales suggest less reliance on only Rs. 5-10 packs compared to other clusters. |

| Footfall Intensity | 4 | 36% High and 28% Medium footfall tags indicate consistent shopper traffic. |

| Loyalty / Repeat Purchase | 4 | High average active months (10.93 vs 9.5) and kirana format suggest strong local customer base. |

| Execution Quality | 4 | 95% cooler availability is excellent; high VPO implies good store management and merchandising. |

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Axes: Beverage Depth, IC Mix, Seasonal Spike, Premium Mix,
Low Price-Pack, Footfall, Loyalty, Execution

Scores: [4, 5, 3, 5, 2, 4, 4, 4]

Cluster colour: #41B6E6

Universe avg overlay: grey dashed

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Comparative Cluster Snapshot

Cluster	Name	Count	Avg VPO (Rs.)	IC Mix	Premium Mix	Growth Potential
0	...	1,536	6,233	...	...	...
1	...	3,037	2,715	...	...	...
2	...	5,088	2,617	...	...	...
3	...	15	2,945	...	...	...
4	...	282	5,650	...	...	...
5	**High-Value Urban Kirana Mixed Mission**					
		42	**74,113**	**75%**	**65%**	**High**

Commercial Action Plan

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ACTION 1: PORTFOLIO

Initiative : Optimize Premium Single-Serve & Multi-Serve Mix

Objective : Maximize revenue from high-margin premium SKUs and capture family/group purchase occasions.

Hero SKUs : [Premium Juice 500ml], [Energy Drink 300ml], [Carbonated Soft Drink 1.25L]

Channel : GT

Timeline : Short (1–3 months)

KPI : Premium SKU share of VPO; Multi-serve pack sales uplift.

ACTION 2: MERCH & SPACE

Initiative : Chiller Optimization & Secondary Display Program

Objective : Enhance visibility and accessibility of chilled beverages and high-impulse snacks at checkout.

Hero SKUs : [Chilled Carbonated Soft Drink 250ml], [Chilled Juice 200ml], [Salty Snack 50g]

Channel : GT

Timeline : Immediate (0–4 weeks)

KPI : Chiller fill rate; Secondary display compliance; IC category sales uplift.

ACTION 3: HERO SKU DISTRIBUTION

Initiative : "Always Available" MSL for Top 10 SKUs

Objective : Ensure 100% in-stock availability for the highest-velocity SKUs to prevent stock-outs in high-demand stores.

Hero SKUs : [Top-selling Carbonated Soft Drink 250ml], [Top-selling Juice 200ml], [Top-selling Energy Drink 250ml], [Top-selling Salty Snack 50g], [Top-selling Extruded Snack 30g]

Channel : GT

Timeline : Immediate (0–4 weeks)

KPI : Numeric distribution of Top 10 MSL SKUs; Out-of-stock rate reduction.

ACTION 4: PICTURE OF SUCCESS (PoS)

Initiative : "Perfect Store Layout" for Mixed Mission Kiranas

Objective : Implement a standardized planogram that clearly segments impulse, refreshment, and stock-up zones within the small store footprint.

Hero SKUs : All core portfolio SKUs

Channel : GT

Timeline : Short (1–3 months)

KPI : PoS compliance score; Average basket value increase.

ACTION 5: PRICING & PROMO

Initiative : Dynamic Combo Offers for Lunch & Evening Missions

Objective : Drive higher average transaction value by bundling complementary products for specific meal/snack occasions.

Hero SKUs : [Carbonated Soft Drink 250ml + Salty Snack 30g], [Juice 200ml + Baked Snack 25g]

Channel : GT

Timeline : Short (1–3 months)

KPI : Combo offer redemption rate; Increase in average transaction value.

ACTION 6: OCCASION ACTIVATION

Initiative : "Urban Refresh" Seasonal Campaign

Objective : Leverage high urban footfall during peak summer and festive seasons with targeted POSM and product visibility.

Hero SKUs : [Hydration Drink 500ml], [Large Format Carbonated Soft Drink 2L], [Festive Snack Pack]

Channel : GT

Timeline : Medium (3–6 months - pre-summer/pre-festive launch)

KPI : Seasonal category volume uplift; POSM placement rate.

ACTION 7: DEMOGRAPHIC TARGETING

Initiative : Student & Office-Goer Value Bundles

Objective : Cater to the specific affordability and convenience needs of the youth and working professional segments in the catchment.

Hero SKUs : [Affordable Energy Drink 200ml], [Small Juice Pack 180ml], [Value Snack Combo]

Channel : GT

Timeline : Short (1–3 months)

KPI : Sales volume from targeted bundles; Penetration among youth/office-goer segments.

ACTION 8: CHANNEL PARTNERSHIP

Initiative : "High-Value Kirana Partner" Program

Objective : Foster stronger relationships with these top-tier kiranas through preferred trade terms, category management support, and performance incentives.

Hero SKUs : Full portfolio

Channel : GT

Timeline : Medium (3–6 months)

KPI : Retailer satisfaction score; Program enrolment rate; Incremental NSV from partner stores.

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